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## SM131 - "Introduction to Strategy Note"

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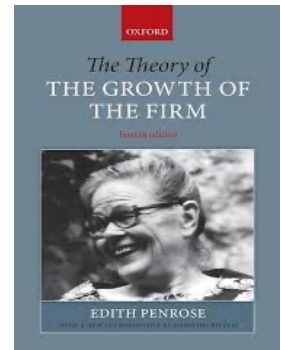
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### I. Introduction

#### 1.1. Origins

The field of **Business Strategy** has its origins in **military science**, where strategic thinking was primarily focused on outmaneuvering opponents and winning battles. The term "**strategy**" itself is derived from the Greek word "**strategos**," meaning a **military general**. Classic **military strategists** like **Sun Tzu**, who authored "The Art of War," and **Carl von Clausewitz**, with his seminal work "On War," have **significantly influenced strategic thinking**. Their **concepts on positioning, resource allocation, and adaptability** to changing **environments laid the groundwork** for strategic principles that later transitioned into the business domain.

In the **mid-20th century**, the **application of strategic concepts** began to **expand** beyond the **military**. As **businesses grew in size and complexity**, particularly during the **post-World War II economic boom**, the **need for strategic management** became **apparent**. **Harvard Business School** played a **pivotal role** in this **transformation**. Some of the **most interesting early work on strategy** was authored by **Edith Penrose**. Her **groundbreaking 1959 book, *The Theory of the Growth of the Firm***, argued that firms grow by leveraging their internal resources and capabilities. This **focus on a firm's internal strengths** laid the **foundation** for the **Resource-Based View (RBV)**, one of the key **perspectives in Business Strategy**.



In the **1960s**, scholars like **Alfred Chandler** emphasized the importance of **strategic planning** in **large corporations**, while **Kenneth Andrews** and **Igor Ansoff** introduced **formal strategic management frameworks**. **Michael Porter** further **revolutionized** the field in the **1980s** with his **frameworks** such as the **Five Forces Analysis** and **Value Chain Analysis**, which **provided systematic approaches** to **understanding competitive environments and internal efficiencies**. These contributions solidified business strategy as a distinct discipline within business studies, focusing on how companies can achieve sustainable competitive advantage through strategic planning and execution.

#### 1.2. Aims and scope

**Business Strategy (strategy)** is a **crucial component** for any **organization aiming to achieve long-term success**. It helps **coordinates all functions of a business**, helping to **maximize value creation and capture**. It is **typically determined by the organization's owners and leading managers**, ideally based on **information gleaned from all levels of the firm**, and it is **implemented by managers and workers** at all **levels of the organization**.

Strategy considers an organization to be **successful in designing and implementing its strategy** if it is able to achieve **competitive advantage**. In a **for-profit setting**, strategists consider competitive advantage to be achieved if a firm is able to achieve a rate of profitability that exceeds that of its rivals. (If a firm's profitability is below its industry average, we consider it as having a **competitive disadvantage**). A **temporary competitive advantage** would arise if a firm has been able to achieve higher rates of return than the average for its industry for a short period of time, e.g., a year or two, whereas we refer to **sustained competitive advantage** as occurring if a firm is able to achieve profitability greater than its rivals for a longer period of time, e.g., three, five, or even ten years. Sustained competitive advantage is rare, particularly in highly competitive industries, because firms react to aggressively to each other are so aware of each other's competitive moves.

While competitive advantage is difficult to measure in settings in which organizations are not competing for profits, strategy matters in these contexts as well. Indeed, strategy concepts are relevant in all contexts in which organizations compete. For example, organizations that provide temporary care for

and seek long-term homes for stray house pets compete for volunteers, for resources, and for the opportunities to find loving homes for their dogs, cats, and other creatures. Organizations that raise money to conduct research on disease likewise compete for resources, recognition, and the opportunity to partner with impactful scientists. Even religious organizations compete for hearts, minds, and potential converts. In each of these cases, organizational leaders and managers throughout the organizations will think explicitly or implicitly about the competitive challenges and the ways in which they can help their organizations survive, succeed, and, ideally, obtain competitive advantage.

### 1.3. What Strategy is not and what it is

As of the 1950s, there were almost no books on “Business Strategy.” By the 1970s, there were only a few. By 2024, Amazon listed more than 30,000 titles focused on the topic. One of the challenges associated with this boom in interest is that it can be difficult to separate popular but not substantive insights about business strategy from foundational and valuable insights. Indeed, because of the ubiquity of strategy musings by TV personalities, consultant-written business books, slapdash business press accounts, social media wannabes, it is important to highlight a few things that serious Business Strategy is not in order to set the stage for a definition of what Business Strategy is. Well-formulated Business Strategy...

- ...is not a bunch of platitudes or buzzwords
- ...is not a company’s mission statement
- ...is not a series of financial analyses
- ...is not a detailed description of what a firm does
- ...is not many pages long!

**Instead, Business Strategy is a concise, clearly articulated, and internally consistent plan for how an organization will create and capture economic value.**

Business strategy is not an extensive, detailed instruction manual. It is more like a concise roadmap that identifies the organization’s most important tradeoffs and guides its overall direction and choices. A good strategy should be clear and understandable for everyone in the company, from top executives to new hires. Companies that can develop and communicate a clear strategy are uncommon, but research shows they tend to be much more successful [Sull, 2018].

Sometimes, companies’ marketing slogans reflect their strategies. One tremendous example of a clearly articulated and studiously pursued business strategy that is also reflect in a company’s slogan is Wal-Mart’s tagline, “Every Day Low Prices.” Company founder, Sam Walton, established a corporate culture based around the idea of driving down costs at all costs. In the mid-1980s, he was listed by Forbes as the wealthiest person in America, but he continued to drive an old pickup truck, never flew first class, and insisted on sharing hotel and motel rooms with other C-level executives when going on business trips – all of which was consistent with his idea of keeping average costs to the firm as low as possible. One key element of Walmart’s strategy was locating its stores in rural towns, where rent was lowest, and avoiding locations like cities and suburbs, in which competition with other stores might require higher rent, wages, and other costs. This emphasis on cost reduction did not mean, however, that the firm is blindly “cheap.” Few firms invest more fully or thoughtfully in information technology and logistics. Walmart’s IT and operations management capabilities are second to none in its industry and the organization’s sophistication in incorporating data-driven insights on questions like where to locate their stores, how to route trucks, which products to order and stock, help the organization maintain the highest average profitability in the discount retailing industry. Each element of the firm’s strategy complements the others – and all serve its goal of “everyday low prices.”



#### 1.4. *Not everyone has a strategy – but everyone should*

While some organizations, like Walmart, have precisely formulated and carefully executed strategies, many do not. Michael Porter, who helped transform the field of strategy in the 1980s, 1990s, and early 2000s, famously distinguished between following “**best practices**” and having a strategy. He noted that “trying to be the best” or simply adopting the best practices in an industry or always implementing the newest technologies is not likely to yield a source of competitive advantage. The problem, he noted, with simply trying to be the best or doing the best things that everyone else is doing is that the best possible outcome of such an approach is a temporary competitive advantage.



The potential downsides, though, are whiplash, an unclear identity, and the lost opportunity to do things differently from your rivals. If your organization is always on the lookout for the next best thing and changes many features of the organization to adopt it, it may turn in too many directions to be efficient. Consider the example of a firm that owns and operates low-cost motels, whose main goal is to rent safe, sufficiently clean rooms to passing travelers. Best practices in its industry may change rapidly and may involve things like new check-in technology, increasingly fast internet speeds, play spaces, the newest vending machines, the latest bathroom technologies (like high-intensity showers), and robot-enhanced room cleaning technologies. The regular adoption of ‘best practices’ in the industry might lead a low-cost motel provider to experience exceptionally high costs, thus destroying its profit potential, if it were to regularly chase best practices. Further, even if it achieved best practices at any point in time, because those best practices change, it is not likely that its temporary success could lead to long term success.

Porter does not argue that a firm should avoid best practices, but he argues that it should be selective about the initiatives it pursues and that these initiatives should be determined by its strategy, i.e., the set of choices that gives the firm a distinct identity and that drives its interlocking sets of choices. This would help dictate which practices it would be most likely to adopt and which it might avoid. To return to the example above, imagine that the motel chain we described were to specifically target families with young children. It would then make sense for the chain to adopt practices that make life for traveling parents easier, like children’s play spaces and highly reliable (though not necessarily super high-speed) internet access.

Failure to choose a strategy does not necessarily doom an organization to bankruptcy or failure, but it does lower the probability of achieving competitive advantage, particularly sustained competitive advantage.

## II. Five Introductory Facts about Strategy

Now that we have provided a brief background on the history of the field of Business Strategy and an overview of what Business Strategy is, we would like to identify five introductory facts about Strategy.

### 2.1 – Fact #1: *Goal of Strategy is improving Long-Term Organizational Performance (usually, profitability)*

The goal of business strategy is to help an organization maximize to maximize long-term performance. Typically, strategy scholars and practitioners consider economic performance to mean maximizing economic profitability, i.e., shareholders’ rate of return, though some organizations consider goals other than profitability. Note that the goal is not to increase the volume of profits, but the rate of return. This distinction is important. One can increase the volume of an organization’s profits simply by increasing its size. If one profitable firm buy another firm that also has profits, there is a chance that the volume of profits of the first firm will increase. However, unless the rate of return increases (i.e., the amount of profits divided by the size of the firm), such a purchase might be a bad deal for investors. If a firm

expands in a way that increases total profits but the additional business has a lower rate of return than investors might have otherwise achieved, the business expansion is a bad idea.

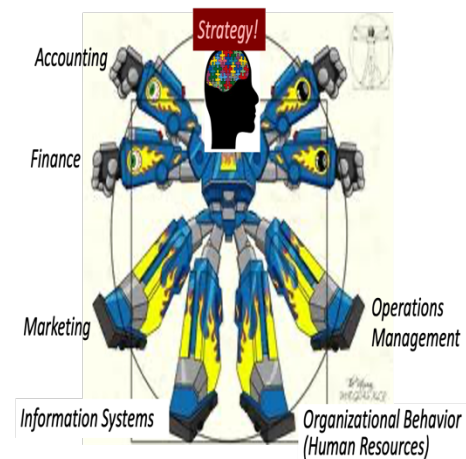
Consider the following example. Suppose you were the CEO of a coffee shop with ten employees, \$100,000 in profits, and a 10% rate of return. If the opportunity arose to buy a rival coffee shop in which everything else was the same, but the shop only made \$10 in profits and had a 0.1% rate of return, this might increase the total amount of profits that your coffee shop firm made, but it would do so in a way that lowered the average rate of return for the investors – which would likely be quite inconsistent with their interests. Thus, we focus in strategy on rates of return (i.e., profitability) rather than the volume of returns (i.e., levels of profit).

## 2.2. Fact #2 - Strategy as a Coordinating Mechanism

The second introductory fact about Strategy is that it serves as a coordinating function in the organization. Each of the various functions of a firm – Marketing, Operations, Accounting, Information Systems, R&D, People Analytics, etc. – might follow their own priorities and might make choices that were inconsistent with each other if the organization did not have an agreed-upon and clearly-specified direction that was understood by all. One of the roles of Strategy in an organization is to establish this direction and to enable each of the functions to best function in ways that serve this strategy.

Taking forward our example of Walmart, Marketing is 100% aware of the firm's emphasis on Every Day Low Prices (EDLP) and develops advertising campaigns around this idea. Similarly, Operations Management recognizes the role of EDLP in the firm's strategy and identifies product and service suppliers that are able to keep the firm's average costs of sale as low as possible.

Another example that might be helpful in thinking about Strategy's coordinating role is this. Imagine a firm that made razor blades facing the following dilemma: Historically, the Marketing Team had advertised the firm's product as a low-cost product, one that provided a good shaving experience for the lowest possible price. If the R&D team were to include some exuberant researchers who developed an expensive, patented razor that would vastly improve the shaving experience but which could only be manufactured at a high cost, this may cause strife in the organization. The role of Strategy in this firm would be to coordinate the actions of Marketing and R&D so that the R&D team worked on issues, like cost-reduction or quality improvement at low costs, that are consistent with the overall strategic direction of the firm.



## 2.3. Fact #3: Strategy requires an explicit consideration of rivals

A critical aspect of business strategy is understanding and anticipating rivals' actions. Rivals' responses can significantly impact a firm's strategic decisions and outcomes. Thus, strategists must consider how competitors might react to their actions.

A terrific example of rivalry in action is evident in the competition between Coke and Pepsi. Two strategy scholars, Andrea Fosfuri and Marco Giarrantana, studied the competition between these firms and noted that it only took between a couple of weeks and a couple of months for each to imitate the new flavors and new packaging introduced by the other (Fosfuri and Giarrantana, 2009). In practice, this means that neither firm can obtain a significant advantage over the other simply by being more innovative in introducing new product varieties or packages. Instead, the firms compete mainly for new



markets and based on advertising and their competitive moves mainly harm smaller rivals, rather than each other. Indeed, both firm's strategies are based on the idea that rivalry between Coke and Pepsi typically benefits both firms while leading to decreased profits for smaller firms, which cannot respond as quickly to Coke and Pepsi's innovations or advertising investments.

Another classic example of considering rivals' responses arises in the context of airline pricing. Suppose JetBlue Airlines were considering reducing its prices on flights between Boston and Atlanta in order to build up customer loyalty. When making this decision, it would be advantageous for JetBlue Air to consider how its rivals, like American Airlines, United Airlines, and Southwest, might respond to its actions. In particular, it would be helpful to consider how Delta Airlines, which operates a large hub in Atlanta, might respond. If those other airlines were to respond to JetBlue by lowering prices on their Boston-based flights, both to Atlanta and other destinations, then JetBlue's actions could backfire, causing reduced profits for JetBlue. It could even induce a price war that reduced profits for all firms in the industry and increased the chances for future price wars.

These examples highlight how firms should consider rivals' responses to strategic actions. More generally, though, firms should consider rivals when they formulate their strategies in the first place. One of the reasons that Sam Walton's Every Day Low Prices strategy worked so well for Walmart is that his was the first firm to pursue that strategy and to do so by locating stores in as many rural areas as would sustain the EDLP approach to business. Thus, as Target was attempting to expand its business, it made sense for that firm to take a different approach, since pursuing Walmart's rural EDLP strategy was unlikely to lead to success. Target's slightly higher-end approach to discount retailing reflects its understanding of strategy as a process in which rivals' responses are an essential element.

#### *2.4. Fact #4: The Fundamental Fact of Strategy: Profit Variability*

We refer to Fact #4 as "**The Fundamental Fact of Strategy**," i.e., the fact that profits vary significantly across industries and within industries.

There are two elements to this fact. The first is that profits vary substantially across industries. This arises because some industries experience inherently higher profit potential in certain environments than others. For example, the carbonated soft-drink industry in which Coke and Pepsi compete has achieved rates of profitability that vastly exceed those of the average for the United States for more than five decades. By contrast, the discount retailing industry in which Walmart competes has achieved rates of profitability that are substantially below those of the average for the US economy during the same period of time. The reason for this is not that executives in the non-alcoholic beverage industry are substantially smarter than those in discount retailing. This outcome occurs simply as a result of the microeconomic features (and regulatory environments) affecting those two industries in the United States. The US Soft Drink Industry has evolved to become an oligopoly in which three firms (Coke, Pepsi, and Dr. Pepper) combine to achieve nearly 80 percent market share and in which the firms rarely compete by lowering prices. By contrast, discount retailing is substantially more competitive, has many more firms of smaller sizes, and experiences substantial price competition.

One note about the variation in profits across industries is that average industry profitability does change, but it often does so slowly. For example, in the late 1980s and early 1990s, most newspapers in the United States were owned and operated in regional environments in which local oligopolies enabled high rates of profitability. The diffusion of internet in the mid- and late-1990s began to threaten newspaper profitability. However, it was not until the 2000s that average industry profitability truly began decline. Airlines in the United States provide an example of an industry whose profitability has increased slowly over time. From the time of industry deregulation in the 1970s until the early 2000s, the US Airline Industry was characterized by regular price wars and levels of profitability substantially below the average for the national economy overall. In the early 2000s, however, a series of airline mergers reduced the number of major airlines from more than 8 down to four. This increasingly concentrated industry structure helped the industry become more like an oligopoly and slowly led to increased industry average profitability.

The second element of the Fundamental Fact is that profits vary within industry. For example, Walmart has had a higher rate of return than nearly all of its rivals for decades. This reflects the firm's superior strategy and execution. While numerous rivals, including K-Mart, Sears, and JC Penney, have experienced bankruptcies, Walmart continues to deliver returns that exceed its industry average.

Whereas industry average profits tend to change slowly over time, average firm profits within industry often change more rapidly. Some firms experience higher rates of return than the average for their industry in one year, only to experience lower-than-average profits the following year. The key here, though, is that firm profits do vary across firms within industry and that firms with better strategies (and better execution of those strategies) tends to outperform those with worse strategies and worse execution of those strategies.

The final conclusion from the Fundamental Fact is that both the environment in which an organization competes (its industry environment) and factors internal to the firm (its internal environment) influence organizational performance. An effective strategy must thus consider both external and internal factors to enable the organization to maximize its long-term performance.

### *2.5. Fact #5: Tradeoffs are the Essence of Business Strategy*

The fifth introductory fact about business strategy is that developing a thoughtful and effective organizational strategy requires identifying and embracing tradeoffs. Knowing what a firm **will not do** is just as important as knowing what it will do. For example, by embracing Every Day Low Prices, Walmart commits to not selling products like Gucci or Hermes bags that might bring a high profit margins but that would violate their EDLP approach. Similarly, IKEA commits to selling a high volume of discount furniture and, therefore, should avoid selling luxury sofas and chairs and McDonalds commits to swiftly serving customers inexpensive hamburgers and fries and therefore avoids high-end, slow-cooking foods like sirloin steak or puffer fish.

In his classic article, "What is Strategy?" (Porter, 1996), Michael Porter highlights the example of Southwest Airlines as a firm that makes a clear set of tradeoffs that are designed to enable it to achieve costs that are below the average for its industry. Legacy airlines, like American, Delta, and United, pursue a hub-and-spoke model in which they identify a small number of hub airports into which they funnel passengers in order to be able to transfer them

to as many destinations as possible. To keep its costs lower, Southwest pioneered a point-to-point model, flying mostly direct flights using smaller airports and avoiding central hubs. In order to accommodate that fact that passengers (and their luggage!) will be switching planes at the central hub, hub-and-spoke airlines cannot plan schedules that enable their planes to go nearly immediately back up into the air after they land. By operating on a point-to-point model in which no plane needs to wait to aggregate passengers from other flights in order to continue, Southwest can keep its planes in the air more often, thus allowing them to generate more revenue. Southwest also works to minimize the turnaround times by creating a culture in which passengers help clean planes before they land, by boarding more quickly than rival airlines, and by offering fewer amenities that slow down the boarding and departure process. Whereas hub-and-spoke airlines operate planes of multiple sizes, Southwest operates only one size and brand of plane, which minimizes its maintenance costs, although it sacrifices the ability to serve markets where smaller or larger planes might be more efficient. In another effort to keep costs low, Southwest often flies into secondary airports rather than the largest airports in a metropolitan area. By not offering amenities, simplifying the ticket purchasing process, not offering convenient connection opportunities, not offering high-end food and beverage services, choosing secondary airports, and not serving all markets. Southwest sacrifices a bunch of potential marginal revenue. However, the impact of these tradeoffs is to enable it to offer airline service at a lower cost than its rivals.



### III. Three Basic Analytic Tools in Strategy

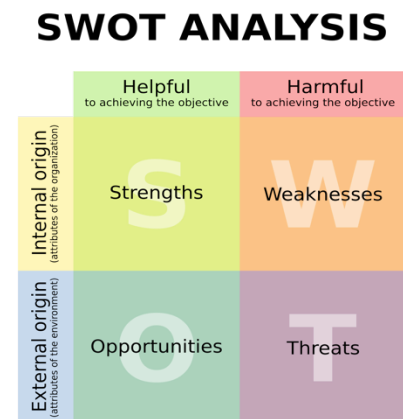
There are numerous tools that help strategists analyze and formulate effective strategies. We would like to introduce just a couple of these. Our aim is give you an introduction to and an impression of these tools in order to help you understand how strategists would use them.

#### 3.1 SWOT Analysis

This simplest and most widespread tool in strategy toolkit is called, “SWOT Analysis.” If you are asked as an intern or an entry-level hire to conduct a strategy analysis or if you are discussing organizational strategy with someone who is not a strategy expert, it is likely that folks are thinking of SWOT analysis. It is the most basic tool for thinking about strategy. It is not especially powerful – i.e., it does not yield specific recommendations on how firms can contribute to increasing industry average or firm average profits, but it does enable analysts to think broadly about firm strategy.

SWOT Analysis is extremely straightforward. It involves identifying positive (helpful) and negative (harmful) elements affecting a firm and considering both external factors (those outside the firm, e.g., in its industry, regulatory, or competitive environment) and internal factors (those inside the firm). These are typically listed in a 2x2 matrix in which external and internal factors are separated on the y-axis and positive and negative elements are separated on the x-axis.

The term SWOT arises from the mutually exclusive categories associated with each box in the matrix. **Strengths** and **Weaknesses** are those internal elements that are positive and negative, respectively, while **Opportunities** and **Threats** are those external elements that are, respectively, positive and negative.



For example, if we were thinking about the automaker Tesla, we might note some of its strengths include its popular brand name, its sleek design, its innovative positioning as a high-end electric car, and its industry-leading technology. Its weaknesses might include the complexity of its sales and service process (it does have a network of local dealers and service providers, like Ford, Mercedes, and Toyota), its limited product range, and its mercurial leadership (note that different elements of this leadership might also be a strength). Each of these refers to internal features of the firm. Its opportunities could include things like the opportunity to expand its network of charging stations, the potential support of environmentally-friendly regulators, and the possibility that battery technology may improve. Its threats may include elements like the possibility that larger car makers, including BMW, or international rivals, like BYD, could leapfrog its technology and that environmentally-unfriendly regulators pursue policies that harm the sales of electric vehicles.

Once one has completed the exercise of listing the main Strengths and Weaknesses of an organization and has categorized the key Opportunities and Threats facing it, the strategist can use this list to think about an organization’s prospects and potential strategic actions.

The main advantages of SWOT analysis are (a) that it is relatively simple and straightforward, (b) that it is relative quick to conduct, (c) that it explicitly considers both an organization’s external and internal environments, and (d) that it helps strategists organize their thoughts. There are also a number of principal main disadvantages associated with SWOT analysis. For example, some strengths can also be weaknesses (e.g., leadership at Telsa), so the categories are not as mutually-exclusive as one might hope. As well, sensible, thoughtful, and well-informed people can draw quite different SWOT analyses for the exact same organizations, depending on their perspectives, and can thereby reach quite different conclusions. Further, although SWOT analysis does consider both external and internal environments, it does not tell us much with much reliability about either the external drivers of profits or the internal drivers of profits. For example, the brief overview of Tesla above does not give us much insight about whether Tesla is likely to have profits above the average for its industry (or why) or whether Tesla’s

industry is likely to have profits above the average for the economy (or why). More sophisticated strategy analyses will have insights on these issues.

One note is that, though it was initially intended for use in analyzing business organizations, SWOT analysis can be applied to all kinds of contexts, including even at the individual level. Some professional coaches and academic advisors encourage executives and students to conduct their own SWOT analyses as the basis for considering individual pursuits.

Overall, SWOT analysis is quite useful as an easy-to-wield tool for introductory strategy analysis. We hope that this brief overview alone will enable you to conduct SWOT analyses. We view them as a beginning, though not an endpoint for strategy analyses. SWOT analysis is the most well-known and widely-used tool in the strategists' toolkit, but it is far from the most powerful or insightful tool. As a result, we consider it to be perfect for a very brief overview of strategy.

### 3.2. Porter's Five Forces Framework

**Porter's Five Forces Framework** is a strategic tool used to analyze the competitive environment of an industry. First introduced by Michael E. Porter in his 1979 Harvard Business Review article, "How Competitive Forces Shape Strategy," this framework helps businesses understand the underlying drivers of profitability and competition within their industry. Michael Porter was trained as an industrial organization economist. This branch of economics is interested in understanding the factors that affect the competitiveness of industries and the division of rents between consumers (consumer surplus) and producers (profits). It is the subfield of economics most interested in understanding the drivers of monopoly and oligopoly and in understanding the regulatory process that might lead to the most efficient allocation of goods at the industry level. In developing the Five Forces Framework, Porter used the tools of industrial organization economics to understand how the microeconomic features of industries affect the potential for businesses in those industries to earn profits.

His principal insight is this: when firms in an industry are competing to achieve profits, they should not only consider their direct competitors (i.e., their **rivals**), but they should also understand that profits can be lost because their **suppliers** are powerful and can potentially, drive up their costs, because **buyers** might be powerful and might be able to drive down prices, because **new entrants** might be able to enter the industry and take their customers, and because products in other industries (**substitutes**) might constrain the prices that firms in the industry can charge. Porter characterizes each of these threats to the profitability of firms in an industry as a separate "force." His idea is that by understanding the factors that affect the strength of each of these forces, firms can analyze the threats to the profitability of their industry.



If none of the five forces affecting industry average profitability is strong, i.e., if none squeezes expected profits out of an industry, then we can be relatively confident that the average firm in the industry will experience profits that are greater than those of the economy overall. If, however, one or more of the forces is able to exert substantial downward pressure on the gap between average prices and average costs in the industry, it is possible that industry average profits will be squeezed to a point that industry average profits sink below those of the economy overall.

We present below a slightly more precise description of each of the Five Forces:

- **Threat of New Entrants:** This force evaluates how easy or difficult it is for new competitors to enter the market. High barriers to entry, such as significant capital requirements or strong brand loyalty, reduce this threat. New entrants can arise either as new-to-the-world firms or as existing firms that

enter from other industries. The danger of new entrants is that it might be expensive to keep such firms out of the industry and that they might force firms in the industry to keep their prices low or take on costs that are so high that they cannot remain profitable.

- **Bargaining Power of Suppliers:** This force assesses the power suppliers have over businesses in the industry. If there are few suppliers or if they offer unique products, they can exert significant influence on prices and terms. Powerful suppliers can drive up the costs that firms in the industry are forced to bear (or drive down the quality of supplies they receive).
- **Bargaining Power of Buyers:** This force considers the ability of customers to influence pricing and quality. High buyer power arises when buyers are substantially larger than the firms from which they are buying, when customers have many choices, when they purchase in large volumes, or when products are not differentiated or branded in a way that drives buyer loyalty. Powerful buyers can push down prices or demand high quality products that are expensive for firms to make.
- **Threat of Substitute Products or Services:** This force considers the relative prices and value of alternative products or services that can perform the same function as those sold by firms in the industry. If products outside the industry provide a similar value at a lower price, then firms in the industry would have to lower their prices to remain attractive. For example, if the MBTA lowers its prices, then Uber and Taxis might be forced to do the same.
- **Competitive Rivalry:** This force looks at the intensity of competition among existing firms. High rivalry can result from slow industry growth, having a large number of small competitors, and having commodity (rather than differentiated products). High rivalry is characterized by substantial price competition or extreme cost-based competition, and it yields reduced profitability. Monopoly and oligopoly industries typically have lower levels of rivalry, whereas firms in perfectly competitive industries have higher degrees of rivalry.

The process by which one does a Five Forces analysis looks like this:

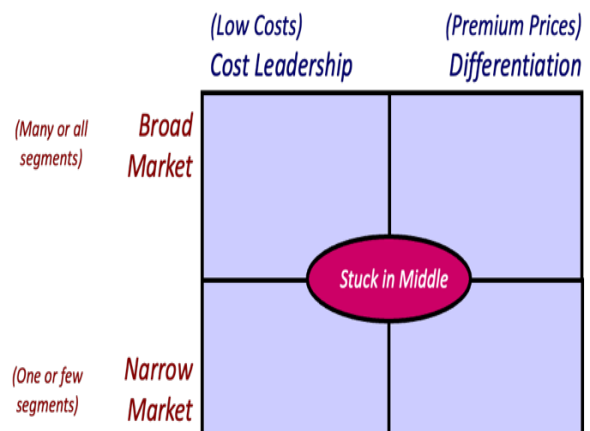
- (1) First, **define the industry** in which a firm competes by considering the sets of firms that sell similar products, have similar buyers and have similar suppliers. Note that there are multiple classification schemes that claim to sort firms into industries, including the NAICS system and SIC system. These are not ideal for a Five Forces Analysis – they are often too simplistic and often classify a firm in a single industry, even if, like GE, Samsung, and Siemens, it sells products in multiple industries.
- (2) **For each force, identify and analyze the factors affecting its strength**, i.e., the ability of the force to squeeze the margin between average prices and average costs, and reach a conclusion about the ability of each force to depress industry average profits. Be sure to do this analysis at the industry-level (i.e., for the average for the industry) rather than at the firm-level (i.e., do not conduct the analysis for a single firm!).
- (3) As the final step in the analysis, **draw a conclusion** about whether the Five Forces are expected to depress industry average profits to a sufficiently substantial degree that the industry experiences profits below the average for the economy overall.

As an advanced step, one can use the information from the analysis to make recommendations on how firms can act in ways that will enhance industry-average profits or help the firm avoid industry average pressures and increase its own profits.

### 3.3. Porter's Competitive Positioning Matrix

Michael Porter introduced the Competitive Positioning Matrix (sometimes referred to as the “competitive positioning grid” or “Porter’s generic strategies”) in his book, *Competitive Strategy* (1980). The framework is based on a matrix with two dimensions, which represent two core tradeoffs that, in Porter’s view, firms must make in order to have the opportunity to achieve competitive advantage.

One tradeoff regards the choice between pursuing an approach in which the firm attempts either (a) to



charge prices that above the average for the industry or (b) to achieve costs that are below the average for the industry. The former approach is called a “**premium price**” approach (also called, “**differentiation**”), while the latter is called a **cost leadership** (or “low cost”) approach. This approach is typically depicted on the x-axis. (We will avoid using the term, ‘differentiation’ because its usage in economics implies a premium price, while its common usage implies simply being different from rivals. In Porter’s view, all firms should choose to be different from each other, though only some should choose the premium price approach.)

The second tradeoff regards the choice between (a) serving all segments of a market or (b) serving a single or a smaller number of market segments. The former approach is referred to as “**broad**,” while the latter approach is referred to as “**narrow**.” Narrow approaches are sometimes also referred to as ‘niche’ or ‘focused’ approaches.

By combining firms’ choices on these two dimensions, we can use the Competitive Positioning Matrix to characterize firms’ generic strategies. The Boston-area supermarket industry can help provide an example: *Market Basket* is an example of a firm that pursues a Broad, Cost Leadership Strategy by selling all types of supermarket goods in locations around northern New England, while attempting to achieve prices (and costs) that are below the industry average. *Wegmans* pursues a Broad, Premium Price (Broad, Differentiation) Strategy by selling a similarly wide array of supermarket items, but doing so at prices that exceed the industry average. *Super 88* pursues a Narrow, Cost Leadership Strategy by achieving below-average costs while focusing primarily on the sales of foods, ingredients, services, and other supermarket items from East, South, and Southeast Asia. The *Concord Market* follows a Narrow, Premium Price Strategy by targeting only a single location, the Boston-area suburb of Concord MA, and by imitating Whole Foods’ premium-priced product mix.



Not every industry will include firms in every quadrant and many industries will include a number of firms in some quadrants. However, every industry will include at least one or more firms that pursue a Cost Leadership approach and at least one or more firms that pursue a Premium Price approach. The reason for this is that the vertical line separating Cost Leadership from Premium Price indicates the average price and average cost for the industry. Firms that attempt to achieve competitive advantage by charging prices above the average for the industry will appear on the right half of the grid, while those that seek competitive advantage by achieving costs lower than the average for the industry will appear on the left-hand side.

Porter cautions against failing to make the two tradeoffs and calls firms that fail to make these tradeoffs, “**Stuck in the Middle.**” His argument is that firms that fail to make a choice between Premium Prices and Cost Leadership face the problem of achieving average prices and costs, which (mathematically) dooms the firm to not being able to achieve profits above the average for its industry. He also suggests that firms need to make a choice about which sets of market segments they are going to serve, because the sets of investments that a firm needs to make to achieve its strategy successfully differs substantially depending on which market(s) the firm aims to serve. Porter considers firms that fail to make these tradeoffs as “stuck” because he considers it quite difficult for firms to substantially change their competitive positions. For example, it would be exceedingly difficult for Walmart to convert from a Broad Cost Leadership Strategy to a Broad Premium Price Strategy.

Interestingly, Porter does not argue that any of the quadrants in the Competitive Positioning Matrix are inherently more profitable than others. For example, in the hotel industry, firms that pursue a Broad,

Premium Price strategy are often substantially less profitable than those that pursue Broad, Cost Leadership or Narrow, Cost Leadership.

The Competitive Positioning Matrix has a number of uses. First, when attempting to understand a firm or its industry, it is helpful to map out rivals' positions on the matrix. Firms that are clustered together on the matrix are likely to have greater rivalry with those firms than with firms in other positions. The exception to this is that firms with narrow positions may not compete as aggressively with each other, even if they are clustered together. For example, Super 88 might not compete particularly aggressively with a supermarket cost leader that focused on selling items from Brazil and other South American countries. Finally, the matrix is useful to helping a firm understand its own tradeoffs and strategic opportunities.

#### **IV. Conclusion**

This overview provides just a glimpse of the issues associated with Strategy. We have missed important topics, like the difference between **Business Unit Strategy** (focusing on a firm's performance in one industry) and **Corporate Strategy** (which is interested in understanding the firm's optimal scope, i.e., the steps in the value chain in which it participates, the sets of products and industries in which it competes, and the sets of locations in which it operates), as well as issues associated with the firm's ability to **achieve** vs. **sustain competitive advantage**, and issues associated with the differences between **strategy design** and **strategy implementation**. All of these await you in future courses and strategy discussions!